working of the real economy. If a few financial firms fail, and (say) the overall car loan business works out okay (albeit with some shifts in market share), it is not a crisis. But if stress in the financial system generates an adverse impact upon quantities and prices in that market for car loans, it is a financial crisis.

By this definition, a sharp decline in stock prices does not (in and of itself) constitute a crisis, as long as the institutional apparatus surrounding the exchange is working properly. Asset prices are made by speculators peering into the future, and it is perfectly normal for those views to change every now and then, resulting in large changes in asset prices. Similarly, the ups and downs of the business cycle are part of the routine process of the market economy. Each downturn is not a crisis.

In the best of times, the Indian financial system works poorly. Its components are closer to malfunction, when compared with the financial system of advanced economies. As an example, whether in good times or bad, many firms in India with a balance sheet of Rs 1 billion find it difficult to access credit. Fairly modest shocks are able to disrupt the normal flow of economic activity. The treatment of financial crisis that is seen in advanced economies needs to be adapted significantly to make it useful under Indian conditions.

The ebb and flow of fear

> *Finance is the brain of the economy.*
>
> Joseph Stiglitz

This ‘brain of the economy’ is distributed across the senior decision makers of about 2000 financial firms and the individual investors that they serve. Booms are enabled by these decision makers feeling safe, and thus taking greater risk. This enables greater financing of risky projects, and triggers off an investment boom. Conversely, downturns are associated with fear. The decision makers become sceptical and retreat into safety. This generates